Vendor Tax Overcharge and Refund Procedure

Halide Labs — Internal Tax Procedure · Policy ID: HL-TAX-POL-002 · Owner: Senior Manager, Tax · Co-owner: Accounts Payable · Effective: 1 July 2026 · Version 1.4

> FICTIONAL COMPANY POLICY FOR DEMO PURPOSES. Halide Labs is a fictional company. This memo is not tax advice.

1. Purpose

Vendors sometimes charge sales tax that is not due, for example on a service that is not taxable in the jurisdiction, or at the wrong rate. Paying it is a cash loss. In general, when a vendor collects sales tax in error, the buyer's first route to recover it is the **vendor** (a corrected invoice or credit memo), because the vendor is the party that remitted it. This procedure sets how Halide Labs detects, holds and recovers over-charged tax.

2. Detection

The tax engine compares the tax the vendor charged with the tax that should apply (taxable base × rate under rule `US-P-DOMESTIC` or the relevant purchase rule). A line receives treatment `overcharged` when the vendor-charged amount exceeds the expected tax. The **overcharge amount = vendor-charged tax − expected tax.** When the item is not taxable the expected tax is zero and the whole charged amount is the overcharge.

3. Steps

1. **Hold.** AP places the invoice `on_hold`. The non-tax portion may be released for payment by the Controller; the tax portion stays on hold.
2. **Flag.** Tax records a vendor tax flag with the document number, the overcharge amount in invoice currency, and the recommended action. Flags are recorded in the close desk (AGENT.VENDOR_TAX_FLAGS); an AI assistant may create a flag but may not release a hold or change a payment.
3. **Request.** AP asks the vendor for a corrected invoice or credit memo within **5 business days** of the flag.
4. **Escalate.** If the vendor refuses or does not respond within 30 days, Tax decides whether to pursue a refund claim with the taxing authority. That decision is Tax's alone and is documented.
5. **Close.** When the corrected invoice or credit memo arrives, AP releases the hold and Tax closes the flag with a reference to the credit document.

4. Thresholds

Overcharge (USD equivalent)	Who is notified
under 10,000	AP Specialist and Senior Manager, Tax
10,000 and above	also the Controller
100,000 and above	also the CFO, and the vendor relationship owner

5. What not to do

- Do not book the over-charged tax to expense.
- Do not short-pay an invoice without telling the vendor in writing.
- Do not net an overcharge against an unrelated invoice.